UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2016/2017

APRIL EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

THURSDAY, 11 MAY 2017 TIME: 9.00 AM – 12.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]
This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]
This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

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Section A **[Total: 40 marks]**
Answer this ONE compulsory question

Q1. (a) RVP Fridges Berhad is a Malaysian manufacturer of eco-friendly fridges for both industrial and residential customers. The company started producing and selling its own brand of fridges a few years ago. To minimise the energy consumption, a fridge requires specialised electronic parts to be fitted within the motor. The required electronic parts are not available locally. The company imports the electronic parts from Singapore for the production of its fridges. RVP Fridges Berhad has contracted to purchase 8,000 electronic parts at a unit price of SGD 20. The Singapore supplier has granted four months credit before payment is due. RVP Fridges Berhad currently has no surplus cash, but can borrow for short term at 3% above bank base rate or invest for short term at 1% below bank base rate in either Malaysia or Singapore. The company all the while uses low financial leverage, and as a result its debt-to-equity ratio is currently below industry average.

Current exchange rates information are as follow:

	MYR/SGD
Spot	3.2677 – 3.2682
1-month forward	250 – 150 (premium)
4-month forward	400 – 450 (discount)

The premium/discount relates to the Malaysian ringgit (MYR).

Current bank base rates are as follow:

Malaysia	6.60%
Singapore	3.30%

Required:

(i) Calculate 1-month and 4-month outright forward rates. (6 marks)

(ii) Calculate total payment in MYR if RVP Fridges Berhad were to implement forward market hedge. (3 marks)

(iii) Calculate total payment in MYR if RVP Fridges Berhad were to implement money market hedge. (11 marks)

(iv) Evaluate which hedging method the company should adopt. (2 marks)

(v) If the Singapore supplier were to offer a 4% discount on the purchase price for payment within one month, evaluate whether the company will alter the decision made in part (iv) above. (6 marks)

(b) Explain **FOUR (4)** disadvantages of expanding foreign business with licensing or franchising strategy. (12 marks)

[Total: 40 marks]

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Section B **[Total: 60 marks]**
Answer any TWO out of three questions

Q1. (a) When will a currency speculator take a long position in currency put options? With the aid of a payoff diagram, briefly describe the potential gain or loss for the speculator. Shade and indicate the areas of potential gain or loss.
(12 marks)

(b) Information of a 90-day Japanese yen put options are as follow:
Strike price = JPY25.00/MYR
Premium = MYR0.00003/JPY
Contract Size = JPY 1,000,000

Required:

If future spot rate turns out to be JPY26.20/MYR, calculate the net payoff in MYR for a trader who long four put options contracts. (5 marks)

(c) What are foreign exchange controls? Evaluate the main negative impact of such controls to the adopting country's economy. (6 marks)

(d) What is "One Belt One Road"? What are its aims? (7 marks)
[Total: 30 marks]

Q2. (a) Explain **THREE (3)** advantages of exporting rather than producing abroad.
(6 marks)

(b) Perisic Chemicals, a Malaysian biochemical company, is financed by long-term bonds and common stocks. Market values of its bonds and stocks are RM35 million and RM65 million respectively. The bonds have 4% yield-to-maturity. Risk-free rate of return in Malaysia is 3% and the FTSE Bursa Malaysia Kuala Lumpur Composite Index has a risk premium of 7%. Perisic Chemicals has a equity beta of 2 and the company is subject to 24% corporation tax rate.

Required:

(i) Calculate Perisic Chemicals' weighted average cost of capital.
(6 marks)

(ii) If the inflation rates are 8.10% and 6.90% in Malaysia and Serbia respectively, calculate the foreign currency cost of capital for its investment project in Serbia. (3 marks)

Section B Q2 (Continued)

(c) Explain **FIVE (5)** cost-related motives a multinational corporation engages in foreign direct investment. (15 marks)

[Total: 30 marks]

Q3. (a) In November 2016, most of the Asian stock markets tumbled and their currencies depreciated against the U.S. dollar within a week after Donald Trump won the U.S. presidential election. Explain some of the main reasons for these happenings. (6 marks)

(b) Rakitic Powers, a Malaysian power plant operator, borrows a one-year euro term loan from Deutsch Bank in Germany. The bank charges a 7% fixed interest rate on the loan. The euro is forecasted to either appreciate 6% or depreciate 4% against the ringgit for the coming year, with probabilities of 70% and 30% respectively. Calculate the expected effective financing rate for Rakitic Powers. (6 marks)

(c) Luca Modric is a foreign exchange dealer for a bank in Gold Coast, Australia. He has AUD 2,000,000 (or its MYR equivalent) for a short-term money market investment. He wonders if he should invest in the Australian dollar (AUD) or make a covered interest arbitrage investment in the Malaysian ringgit (MYR). He retrieved the following rates from a real-time terminal:

Spot exchange rate	MYR3.2344/AUD
3-month forward exchange rate	MYR3.2488/AUD
3-month Australia interest rate	3% p.a.
3-month Malaysia interest rate	6% p.a.

Required:

Based on rule of thumb, which country's money market do you recommend Modric to invest in? Calculate the amount of covered interest arbitrage profits in AUD and in annualised yield (%). How would market forces realign MYR/AUD spot and forward exchange rates to restore the Interest Rate Parity (IRP)? (18 marks)

[Total: 30 marks]